

DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO 305 Colorado Ave. Telluride, Colorado 81435	
JAMES LUCARELLI, et al., Plaintiffs, v. THE BOARD OF COUNTY COMMISSIONERS OF SAN MIGUEL COUNTY, et al., Defendants.	DATE FILED June 10, 2024 4:56 PM CASE NUMBER: 2023CV30044 COURT USE ONLY
	Case Number: 23CV30044 Division: 2
ORDER RE: PETITION FOR REVIEW PURSUANT TO C.R.C.P. 106(a)(4)	

This matter is before the Court on Plaintiffs' petition for review under C.R.C.P. 106(a)(4).
Having reviewed the parties' briefs, the file and relevant authorities, the Court enters this order.

I. FACTS & HISTORY

This case arises from a dispute concerning the application of the Preliminary Development Plan Approval for the Aldasoro Ranch Planned Unit Development ("1991 PUD Plan") to an area of land formerly known as the "Sheep Ranch." The entire area subject to the 1991 PUD Plan was originally owned and developed by Aldasoro, Ltd. ("Aldasoro"), and was initially zoned as "Planned Unit Development-Reserve District." The 1991 PUD Plan divides the subject area into three rezoned subdistricts: the Aldasoro PUD, Airport Park, and the Sheep Ranch. The Aldasoro PUD was rezoned to "Low Density Zone District," the Airport Park was rezoned to "Low Intensity Industrial Zone District," and the Sheep Ranch was rezoned to "Forestry, Agricultural and Open Zone District." The 1991 PUD Plan also imposes a Real Estate Transfer Assessment ("RETA") upon the Aldasoro PUD and the Sheep Ranch for the mitigation of transportation impacts. The RETA is imposed upon the sale of any parcel less than 100 acres.

The area within the Aldasoro PUD has been developed into the Aldasoro Ranch Subdivision ("Subdivision"). Under the 1991 PUD Plan, the Subdivision may be developed into a maximum of 166 residential lots; the Sheep Ranch may only be developed into one home per 35-acre lot. The 1991 PUD Plan imposes other unique restrictions upon the Sheep Ranch, including prohibiting dogs from being kept on the property except for working dogs and requiring building site approval from the Department of Wildlife for any lots sold within the Sheep Ranch. The area within the Sheep Ranch is now known as the Diamond Ranch and consists of two lots.

Plaintiffs own the property within the Diamond Ranch. They made a written request for a formal legal opinion from the San Miguel County Planning Director concerning the legal effect of the 1991 PUD Plan. Specifically, they asked the Planning Director to determine "whether the land referred to as the 'Sheep Ranch' in the 1991 PUD Plan... is part of a 'unified plan' of development under C.R.S. § 24-67-101 et. seq. or not." Plaintiffs also asked for a determination that their lots are not subject to the RETA if the Planning Director found that the Diamond Ranch lots "are not part of a Planned Unit Development Plan approved under § 24-67-101, et. seq[.]".

In response, the Planning Director stated that "although subject to certain provisions as set forth in the Preliminary Development Plan Approval for Aldasoro Ranch Planned Unit Development," the Sheep Ranch "is not a part of the Aldasoro PUD" because the Aldasoro PUD and Sheep Ranch "are separately described." The Planning Director also stated that the RETA applies to the Sheep Ranch parcels because "[i]n regards to the RETA, the specific restrictions on the Sheep Ranch parcels set forth in the PUD Approval override the Land Use Code."

Plaintiffs appealed the Planning Director's decision to Defendant Board of County Commissioners of San Miguel County ("BOCC"). In that appeal, Plaintiffs asked the BOCC to overrule the Planning Director's determination and instead find that the Diamond Ranch lots "are both included within the [1991 PUD Plan] and, alternatively, for a refund of payment of the RETA if the BOCC found that Diamond Ranch lots are not included in the 1991 PUD Plan. The BOCC upheld the Planning Director's ruling while making an additional legal finding:

The BOCC found that the Preliminary Development Plan Approval document was clear and unambiguous regarding properties that were part of the Sheep Ranch

and that section 4.1.1. of the same specifically expressed the clear intention of Aldasoro Ltd. to subject the Sheep Ranch properties to the RETA.

Plaintiffs now seek review of the BOCC's ruling under C.R.C.P. 106(a)(4), which allows for judicial review of an administrative ruling when "any governmental body or officer or any lower judicial body exercising judicial or quasi-judicial functions has exceeded its jurisdiction or abused its discretion, and there is no plain, speedy and adequate remedy otherwise provided by law." There is no dispute that the BOCC's decision was a quasi-judicial action and that there is no other adequate remedy, so review under Rule 106(a)(4) is appropriate.

II. STANDARD OF REVIEW

An agency abuses its discretion under Rule 106 if "its decision is not reasonably supported by any competent evidence in the record, or if the agency has misconstrued or misapplied applicable law." *Giuliani v. Bd. of County Comm'rs*, 303 P.3d 131, 138 (Colo. App. 2012). A court must defer to the agency's factual findings if they are supported by the evidence in the record; a court need not defer to the agency's legal rulings because "review of the applicable law is de novo." *Turney v. Civil Ser. Com'n*, 222 P.3d 343, 347 (Colo. App. 2009). Here, this case presents pure issues of law because the BOCC's ruling is entirely based on its interpretation of the 1991 PUD Plan and relevant statutes. Therefore, the Court will review the BOCC's ruling de novo.

III. ANALYSIS

The petition for review asks the Court to decide the following legal issue: are the Diamond Ranch parcels part of a "unified plan of development" within the 1991 PUD Plan? Plaintiffs contend that this issue is governed by the Colorado Planned Unit Development Act which defines a "planned unit development" to mean "an area of land, controlled by one or more landowners, to be developed under unified control or unified plan of development for a number of dwelling units, commercial... or any combination of the foregoing, the plan for which does not correspond in lot size, bulk, or type of use, density, lot coverage, open space, or other restriction to the existing land use regulations." Section 24-67-103(3), C.R.S. Plaintiffs argue that their lots

are part of the “planned unit development” created in the 1991 PUD Plan because the Sheep Ranch area is included in the same “unified plan of development” as the other subdistricts.

In response, the County argues that the Sheep Ranch area is not included within the planned unit development because it is not part of the Aldasoro PUD, although it is still subject to the RETA. The County’s argument is based on the fact that the 1991 PUD Plan consistently refers to the Aldasoro PUD as “the P.U.D.” but the Sheep Ranch is not designated as a “PUD.” In addition, the 1991 PUD Plan applies a “planned unit development review process” to the Aldasoro PUD but not to the Sheep Ranch or the Airport Park. Thus, the County’s position is that the Sheep Ranch is physically and logically separated from the Aldasoro PUD and cannot be included within the planned unit development.

The parties all agree that the 1991 PUD Plan is not ambiguous. The interpretation of an unambiguous contract or instrument is an issue of law; it must be construed according to the plain meaning of its terms without reference to extrinsic evidence. *Dorman v. Petrol Aspen, Inc.*, 914 P.2d 909, 918 (Colo. 1996). Words and phrases should not be read in isolation, and the contract must be construed in its entirety “with the end in view of seeking to harmonize and to give effect to all provisions so that none will be rendered meaningless.” *FDIC v. Fisher*, 292 P.3d 934, 937 (Colo. 2013).

The Court finds that Plaintiff’s position is supported by a comprehensive reading of the 1991 PUD Plan. The entire area covered by the 1991 PUD Plan was initially owned by Aldasoro and divided into three subdistricts. Each subdistrict was rezoned for a specific purpose and with its own restrictions on lot size and permitted use. The Aldasoro PUD was rezoned for higher density residential use, the Sheep Ranch was rezoned for agricultural use, and the Airport Park was rezoned for industrial use. The 1991 PUD Plan also imposes a RETA upon both the Aldasoro PUD and the Sheep Ranch to mitigate transportation impacts for any transfer of land less than 100 acres. The County approved the 1991 PUD Plan and rezoning of the three subdistricts in accordance with the Telluride Area Regional Master Plan. Thus, the Court agrees with Plaintiff’s argument that the Sheep Ranch area is included within the unified plan of development created by the 1991 PUD Plan because (1) the Sheep Ranch was platted and rezoned contemporaneously with the Aldasoro PUD, and (2) the 1991 PUD Plan imposes the RETA upon both subdistricts for the same purpose of mitigating transportation impacts.

In contrast, the County's position is not reasonable. It argues that the Sheep Ranch is excluded from the unified development plan because the 1991 PUD Plan refers only to the Aldasoro PUD as "the P.U.D.," but does not describe the Sheep Ranch in the same manner. Even so, the County also states that the Sheep Ranch is subject to some of the provisions of the 1991 PUD Plan (such as the RETA), but that it is still excluded from the planned unit development.

But the County's argument ignores the comprehensive structure of the 1991 PUD Plan. Its purpose is to divide the entire Aldasoro property into three subdistricts, rezone them for distinct uses, mitigate environmental impacts, and place other specific restrictions on the density and use of each subdistrict. The Sheep Ranch is restricted to one residence per 35-acre lot and requires building site approval from the Department of Wildlife in order to preserve its agricultural character. While the Sheep Ranch has a different character and density than the Aldasoro PUD, both are part of the same unified plan of development.

For these reasons, the Court is not convinced by the County's argument that the Sheep Ranch is excluded from the planned unit development merely because it is not designated as a "PUD." A "planned unit development" is broadly defined as an area of land subject to a unified plan of development for a combination of different types of uses, including "dwelling units, commercial, educational, recreational, or industrial uses[.]" Section 24-67-103(3), C.R.S. That is the case here with both the Aldasoro PUD and Sheep Ranch. An arbitrary label in the recording instrument is not dispositive.

Another flaw in the County's position is its insistence that the RETA applies to the Sheep Ranch even though it is not part of the planned unit development. The parties agree that the 1991 PUD Plan imposes the RETA obligation upon the Sheep Ranch and that no other statute or ordinance requires the Sheep Ranch lot owners to pay such an assessment. The County presumes that Aldasoro elected to impose the RETA upon the Sheep Ranch while excluding it from the unified plan of development created by the 1991 PUD Plan. The Court rejects this argument because it is illogical and leads to an absurd result. See *EnCana Oil & Gas (USA), Inc. v. Miller*, 405 P.3d 488, 496 (Colo. App. 2017) (a contract should not be interpreted to yield an absurd result). The only logical conclusion is that the Sheep Ranch is subject to the RETA as part of the same unified plan of development contemplated in the 1991 PUD Plan as applied to all the subdistricts created by that document.

Accordingly, the Court finds as a matter of law that the BOCC incorrectly interpreted the 1991 PUD Plan. The Diamond Ranch lots are part of the unified plan of development that was created by the 1991 PUD Plan. This means that the Diamond Ranch lots are within a “planned unit development” under section 24-67-103(3), C.R.S. The BOCC abused its discretion and its resolution upholding the Planning Director's finding is vacated.

Based on the foregoing, IT IS ORDERED that Plaintiffs’ Petition for Review under C.R.C.P. 106(a)(4) is granted.

Dated this 10th day of June, 2024.

BY THE COURT:



J. Steven Patrick
District Court Judge

cc: e-filed to parties of record